Form 1040 - U.S. Individual Income Tax Return (2024)

Prepared in substitute line-by-line format; all lines as they will be keyed into the e-file software. Amounts rounded to whole dollars.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 1040

Filing status	Married filing jointly (lived together all year; neither can be claimed as a dependent)
Taxpayer	ROBERT SMITH JR. SSN 333-44-5555 DOB 12/19/1974 Salesman
Spouse	LISA MARIE SMITH SSN 444-55-6666 DOB 11/21/1976 Teacher
Home address	123 SMITH STREET, SAN ANTONIO, TX 78253 (Bexar County)
Digital assets (Yes/No)	No - did not receive, sell, exchange or dispose of any digital asset
Presidential Election Campaign	Not indicated by clients - left unchecked (see review memo)
Standard deduction box / age 65+ / blind	None checked (Bob 49, Lisa 48; not blind; not claimed as dependents)

Dependents (all lived with taxpayers all 12 months; taxpayers provided over half of support; no custody/divorce agreement)

(1) Name	(2) SSN	(3) Relationship	DOB	Age 12/31/24	(4) Child tax credit box (under 17)
ROBERT SMITH III	111-22-7777	Son	4/7/2018	6	Yes
MELISSA SMITH	222-33-7777	Daughter	4/7/2018	6	Yes
JUDITH SMITH	777-88-9999	Daughter	6/9/2010	14	Yes

Income		
1a	Total amount from Form(s) W-2, box 1 (Bob $132,465 + Bob $102,469 + Lisa $92,069)	327,003
1z	Add lines 1a through 1h	327,003
2a	Tax-exempt interest	0
2b	Taxable interest (Schedule B)	1,116
3a	Qualified dividends	4,898
3b	Ordinary dividends (Schedule B)	6,744
4a/4b	IRA distributions	0
5a/5b	Pensions and annuities	0
6a/6b	Social security benefits	0
7	Capital gain or (loss) - Schedule D attached (line 16)	26,383
8	Additional income from Schedule 1, line 10	0
9	Total income: add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, 8	361,246
10	Adjustments to income from Schedule 1, line 26 (educator expenses)	300
11	Adjusted gross income (line 9 minus line 10)	360,946
12	Standard deduction (itemized deductions of $28,727 are lower - see memo)	29,200
13	Qualified business income deduction (Form 8995)	43
14	Add lines 12 and 13	29,243
15	Taxable income (line 11 minus line 14)	331,703
Tax and credits		
16	Tax (Qualified Dividends and Capital Gain Tax Worksheet)	62,878
17	Amount from Schedule 2, line 3 (AMT / excess APTC)	0
18	Add lines 16 and 17	62,878
19	Child tax credit / credit for other dependents (Schedule 8812; 3 qualifying children)	6,000
20	Amount from Schedule 3, line 8	539
21	Add lines 19 and 20	6,539
22	Subtract line 21 from line 18	56,339

23	Other taxes from Schedule 2, line 21 (Addl. Medicare Tax $931 + NIIT $1,301)	2,232
24	Total tax (add lines 22 and 23)	58,571
Payments		
25a	Federal income tax withheld - Form(s) W-2 (9,642 + 7,466 + 8,286)	25,394
25b	Federal income tax withheld - Form(s) 1099	0
25c	Other forms (Form 8959 line 24)	0
25d	Add lines 25a through 25c	25,394
26	2024 estimated tax payments (4/2/24, 7/4/24, 10/2/24, and 1/5/25 installment)	13,685
27-30	EIC / ACTC / American opportunity credit	0
31	Amount from Schedule 3, line 15 (excess social security tax withheld)	4,113
32	Total other payments and refundable credits	4,113
33	Total payments (25d + 26 + 32)	43,192
Refund / Amount you owe		
34	Overpayment	0
35a	Refunded to you	0
36	Applied to 2025 estimated tax	0
37	AMOUNT YOU OWE (line 24 minus line 33)	15,379
38	Estimated tax penalty - left blank; not computed in the return (see memo, item on Form 2210)	
Third party designee / signature / preparer		
	Third-party designee	No
	Taxpayer / spouse signatures; PIN	To be signed on Form 8879 after senior review - not yet signed
	Paid preparer name, firm, PTIN, EIN	[To be completed by firm - not provided in file]
	Refund method	n/a - balance due. (Client elected no direct deposit.) Pay via IRS Direct Pay/EFTPS/card by 4/15/2025.

Schedule 1 (Form 1040) - Additional Income and Adjustments to Income

Part I not needed (no additional income); Part II adjustments only.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule 1

Part I - Additional Income		
10	Combine lines 1 through 9 and 24z (to Form 1040, line 8)	0
Part II - Adjustments to Income		
11	Educator expenses - Lisa (spent about $730; limit is $300 per eligible educator)	300
21	Student loan interest deduction - $4,312 paid (Form 1098-E) but fully phased out: MAGI exceeds $195,000 (MFJ)	0
26	Total adjustments to income (to Form 1040, line 10)	300

Schedule 2 (Form 1040) - Additional Taxes

Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule 2

Part I - Tax		
1	Alternative minimum tax (Form 6251 not required - tentative minimum tax is less than regular tax; see memo)	0
2	Excess advance premium tax credit repayment	0
3	Add lines 1 and 2 (to Form 1040, line 17)	0
Part II - Other Taxes		
4	Self-employment tax	0
11	Additional Medicare Tax (Form 8959, line 18)	931
12	Net investment income tax (Form 8960, line 17)	1,301
18/19	Other additional taxes / Section 409A	0
21	Total other taxes (to Form 1040, line 23)	2,232

Schedule 3 (Form 1040) - Additional Credits and Payments

Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule 3

Part I - Nonrefundable Credits		
1	Foreign tax credit - $211 foreign tax paid, Lisa 1099-DIV box 7. Direct credit election (passive income reported on Form 1099, tax under $300 MFJ), Form 1116 not required	211
2	Credit for child and dependent care expenses (Form 2441, line 11)	328
3-6	Education credits, retirement savings credit, clean-energy/other credits	0
7	Total other nonrefundable credits	0
8	Total nonrefundable credits (to Form 1040, line 20)	539
Part II - Other Payments and Refundable Credits		
9	Net premium tax credit	0
10	Amount paid with extension request	0
11	Excess social security tax withheld - Bob: two employers, SS wages $234,934; withheld $14,566 less 2024 maximum $10,453 (6.2% x $168,600)	4,113
13	Other payments or refundable credits	0
15	Total other payments and refundable credits (to Form 1040, line 31)	4,113

Schedule B (Form 1040) - Interest and Ordinary Dividends

Required: ordinary dividends exceed $1,500.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule B

Part I - Interest

Line 1 - Payer	Amount
YELLOW ROSE BANK (Bob)	40
TX LENDING COMPANY (Bob)	108
YELLOW ROSE BANK (Lisa)	968
2 - Add the amounts on line 1	1,116
3 - Excludable interest on series EE/I savings bonds (Form 8815)	0
4 - Subtract line 3 from line 2 (to Form 1040, line 2b)	1,116

Part II - Ordinary Dividends

Line 5 - Payer	Amount
YELLOW ROSE BANK (Lisa) - Form 1099-DIV box 1a	6,744
6 - Add the amounts on line 5 (to Form 1040, line 3b)	6,744

Part III - Foreign Accounts and Trusts

7a	Financial interest in or signature authority over a foreign financial account? (intake: no foreign bank accounts)	No
7b	Name of foreign country	n/a
8	Received a distribution from, or grantor/transferor of, a foreign trust?	No

Form 8949 - Sales and Other Dispositions of Capital Assets

Both transactions are reported on Form 1099-B with basis reported to the IRS (Box A short-term; Box D long-term).
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 8949

Part I - Short-term (Box A: basis reported to IRS, Form 1099-B box 12 checked)

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Cost or other basis	(f) Code	(g) Adjustment	(h) Gain or (loss)
11 sh EXSTCK (Bob; L&R Investment Advisors)	03/08/2024	07/06/2024	57	6,751		0	(6,694)
Totals (to Schedule D line 1b)			57	6,751		0	(6,694)

Part II - Long-term (Box D: basis reported to IRS, Form 1099-B box 12 checked)

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Cost or other basis	(f) Code	(g) Adjustment	(h) Gain or (loss)
18 sh BLU-FOR CORP (Lisa; Retro Investing Company)	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077
Totals (to Schedule D line 8b; adjustment present, so not eligible for line 8a)			43,877	11,268		468	33,077

Code W / column (g): wash sale loss disallowed of $468 as reported by the broker in Form 1099-B box 1g, added to the reported gain. Box 1g on a sale at a gain is unusual - see review memo, item 4. No Federal withholding on either 1099-B.

Schedule D (Form 1040) - Capital Gains and Losses

Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule D

Part I - Short-Term Capital Gains and Losses			
1b	Totals for all short-term transactions reported on Form 8949 with Box A checked: proceeds $57; basis $6,751; adjustment $0	(6,694)	
7	Net short-term capital gain or (loss)		(6,694)
Part II - Long-Term Capital Gains and Losses			
8b	Totals for all long-term transactions reported on Form 8949 with Box D checked: proceeds $43,877; basis $11,268; adjustment $468 (line 8a not used - adjustment present)		33,077
15	Net long-term capital gain or (loss)		33,077
Part III - Summary			
16	Combine lines 7 and 15 (to Form 1040, line 7)		26,383
17	Are lines 15 and 16 both gains?	Yes	
18	28% rate gain worksheet	0	
19	Unrecaptured section 1250 gain	0	
20	Are lines 18 and 19 both zero or blank?	Yes - use Qualified Dividends and Capital Gain Tax Worksheet (Form 1040 line 16)	

Capital loss carryover from 2023: none reported (assumed; prior-year return not provided). Line 6/14 carryover = 0. Digital-asset question on Form 1040 answered No.

Form 8995 - Qualified Business Income Deduction (Simplified Computation)

Taxable income before QBI deduction is below $383,900 (MFJ), so the simplified form applies. The only qualifying item is the Section 199A (REIT) dividend.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 8995

1-5	Trade or business QBI (none): total QBI, loss carryforward, QBI component	0
6	Qualified REIT dividends and PTP income (Lisa 1099-DIV box 5)	215
7	Qualified REIT dividends/PTP loss carryforward	0
8	Total qualified REIT dividends and PTP income	215
9	REIT and PTP component (20% x line 8)	43
10	Qualified business income deduction before income limitation (line 5 + line 9)	43
11	Taxable income before QBI deduction (Form 1040 line 11 $360,946 minus line 12 $29,200)	331,746
12	Net capital gain (qualified dividends $4,898 + net capital gain $26,383)	31,281
13	Line 11 minus line 12	300,465
14	20% x line 13	60,093
15	Qualified business income deduction - smaller of line 10 or 14 (to Form 1040, line 13)	43
16-17	Loss carryforwards to 2025	0

Schedule 8812 (Form 1040) - Credits for Qualifying Children and Other Dependents

Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form Schedule 8812

Part I - Child Tax Credit and Credit for Other Dependents		
1	Form 1040 line 11 (AGI)	360,946
2a-2c	Puerto Rico / Form 2555 / Form 4563 amounts	0
3	Add lines 1 and 2a-2c	360,946
4	Number of qualifying children under age 17 with required SSN (Robert III, Melissa, Judith)	3
5	Multiply line 4 by $2,000	6,000
6	Number of other dependents	0
7	Multiply line 6 by $500	0
8	Add lines 5 and 7	6,000
9	Threshold - married filing jointly	400,000
10	Subtract line 9 from line 3 (not less than 0; round up to next $1,000)	0
11	Multiply line 10 by 5%	0
12	Subtract line 11 from line 8	6,000
13	Credit Limit Worksheet A: Form 1040 line 18 $62,878 minus Schedule 3 lines 1-4 ($211 + $328)	62,339
14	Child tax credit and credit for other dependents - smaller of line 12 or 13 (to Form 1040, line 19)	6,000
	Part II-A (additional child tax credit): not applicable - line 14 equals line 12, so the full credit is used against tax	

Child tax credit rules satisfied for all three children: under 17 on 12/31/2024 (Judith is 14), SSN issued, relationship son/daughter, resided with taxpayers all year, not providing own support, U.S. citizen assumed (intake: taxpayers are citizens; children's status not separately asked - see memo).

Form 2441 - Child and Dependent Care Expenses

Judith (born 6/9/2010) turned 13 on 6/9/2023 and is NOT a qualifying person; her $600 of fees is excluded.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 2441

Part I - Persons or organizations who provided the care (line 1)

(a) Care provider	(b) Address	(c) TIN (EIN)	(d) SSN/EIN?	(e) Amount paid in 2024 (all children)
Children First Child Care Center of Texas	777 Childcare Way, Dallas, TX 75211	45-4564564	EIN	2,240

Part II - Credit for Child and Dependent Care Expenses			
2	Qualifying persons: (a) Robert Smith III, SSN 111-22-7777 - qualified expenses $820; Melissa Smith, SSN 222-33-7777 - qualified expenses $820 (Jan-Apr $75 x 4 + May-Dec $65 x 8 each)		1,640
3	Total qualified expenses incurred and paid in 2024 (limit $6,000 for two or more persons)		1,640
4	Earned income - Bob (W-2 box 1: $132,465 + $102,469)		234,934
5	Earned income - Lisa (W-2 box 1)		92,069
6	Smallest of line 3, 4 or 5		1,640
7	Form 1040 line 11 (AGI)		360,946
8	Decimal amount (AGI over $43,000)	.20	
9	Multiply line 6 by line 8		328
10	Credit limit worksheet (Form 1040 line 18 $62,878 minus Schedule 3 line 1 $211)		62,667
11	Credit - smaller of line 9 or 10 (to Schedule 3, line 2)		328
Part III - Dependent care benefits			
12-26	No employer-provided dependent care benefits (W-2 box 10 blank on all W-2s) - Part III not applicable		0

Form 8959 - Additional Medicare Tax

Combined Medicare wages exceed the $250,000 MFJ threshold; no employer withheld the additional 0.9% because no single W-2 exceeded $200,000.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 8959

Part I - Additional Medicare Tax on Medicare Wages			
1	Medicare wages (W-2 box 5): Bob $132,465 + Bob $102,469 + Lisa $118,475		353,409
4	Add lines 1 through 3		353,409
5	Filing status threshold (MFJ)		250,000
6	Subtract line 5 from line 4		103,409
7	Additional Medicare Tax on Medicare wages: 0.9% x line 6		931
8-13	Self-employment income (Part II) - none		0
14-17	Railroad retirement (Part III) - none		0
18	Total Additional Medicare Tax (to Schedule 2, line 11)		931
Part V - Withheld Medicare Tax Reconciliation (shown to the cent to avoid a rounding difference)			
19	Medicare tax withheld, W-2 box 6 ($1,920.74 + $1,485.80 + $1,717.89)	5,124.43	
20	Medicare wages (line 1)		353,409
21	Regular Medicare tax withholding: 1.45% x line 20 (on $353,409.04 of wages)	5,124.43	
22	Additional Medicare Tax withholding: line 19 minus line 21	0.00	
24	Total Additional Medicare Tax withheld (to Form 1040, line 25c)	0	

Form 8960 - Net Investment Income Tax - Individuals

MAGI exceeds the $250,000 MFJ threshold.
Name(s) shown on return: Robert Smith Jr. & Lisa Marie Smith | SSN 333-44-5555 / 444-55-6666 | Tax year 2024 | Line numbering follows the 2024 IRS form 8960

Part I - Investment Income		
1	Taxable interest	1,116
2	Ordinary dividends	6,744
3-4c	Annuities, rental/royalty/passive income	0
5a	Net gain from disposition of property (Schedule D)	26,383
5b	Net gain from nonpassive/non-NII dispositions	0
5d	Combine 5a-5c	26,383
8	Total investment income	34,243
Part II - Investment Expenses		
9a-9c	Investment interest, state/local/foreign income taxes (foreign tax taken as credit - none deducted), other	0
11	Total deductions and modifications	0
Part III - Tax Computation (Individuals)		
12	Net investment income (line 8 minus line 11)	34,243
13	Modified AGI (Form 1040 line 11; no foreign-earned-income exclusion)	360,946
14	Threshold (MFJ)	250,000
15	Subtract line 14 from line 13	110,946
16	Smaller of line 12 or line 15	34,243
17	Net investment income tax: 3.8% x line 16 (to Schedule 2, line 12)	1,301